

borrow) to pay for school. We'll discuss this at more length later in the chapter. To summarize:

$$\begin{array}{r} \text{Cost of Attendance (COA)} \\ - \text{Expected Family Contribution (EFC)} \\ \hline = \text{Need} \end{array}$$

You can get started at www.fafsa.ed.gov. Be sure you type the URL correctly because there are plenty of scammers out there who are trying to mislead you or steal your private information. Also, it is important to note that your FAFSA needs to be completed each year you are in school, because your (or your family's) financial situation may change.

Grants and Scholarships

There are many ways to meet your financial need to pay for college. The first and best way to pay for college is through grants and scholarships. Grants and scholarships are free money! That's right, you do not need to pay these back. A **grant** is money given to you by the government or a nonprofit or private organization. The most common type of federal grant is the Pell Grant, which is awarded to low-income students who demonstrate a serious need for financial aid. Not all students qualify for this grant.

A **scholarship** is money given to you if you have significant financial need or some sort of outstanding talent. If you can run a 40-yard dash in 4.1 seconds, play the piano like Beethoven, or write a best-selling novel at age 18, you can probably get your hands on some pretty lucrative scholarships. There are millions of scholarships available, so try to track them down. The more